CHIEF INVESTMENT OFFICE

Capital Market Outlook

August 10, 2026

All data, projections and opinions are as of the date of this report and subject to change.

IN THIS ISSUE

Macro Strategy—*Waiting for the Fed's New Reaction Function:* Federal Reserve (Fed) Chair Kevin Warsh received a lot of criticism after his post-Federal Open Market Committee meeting press conference on July 29. Reporters seemed to think his answers to their questions were contradictory. In particular, they couldn't reconcile his hawkish focus on inflation with his dovish refusal to advocate for a rate increase. In our view, this apparent contradiction is easily resolved by understanding the change Mr. Warsh is likely to implement to the Fed's framework for controlling inflation. Unfortunately, he's unable to divulge that change at this time because it awaits the input of the task forces he has appointed and the buy-in of his colleagues on the Board. In the meantime, the pundits judging him based on the Fed's previous paradigm are likely to remain confused by his hawkish rhetoric and reluctance to raise rates.

This uncertainty over the new reaction function is likely to keep rate markets guessing about monetary policy until it's resolved later in the year. In the meantime, the strong U.S. economy and broadening global growth are generating double-digit earnings increases, propelling global equity markets to new record levels.

Market View—*Market Snippets: The Yen, U.S. Equity Culture and Hyperscalers' Finances:* We examine three market-moving variables: the latest Yen intervention, America's exceptional Equity culture and the ravenous financing needs of Big Technology. First, while the joint U.S./Japan intervention has put a floor under the yen, a more sustained recovery in the currency will ultimately require a more fundamental shift in macroeconomic policy, including higher interest rates in Japan. Government support for the yen hasn't changed the mathematical reality of yields. Second, when it comes to Equity ownership, no one does it like the U.S. The steady flow of household capital helps finance American ingenuity, risk-taking, innovation and future growth—while also lending to the possibility that a bear market on Wall Street can morph into an economic slowdown on Main Street. Third, while it's clear from Q2 earnings season that the Artificial Intelligence (AI) capital expenditures (capex) cycle is intact, hyperscalers' free cash flow is no longer keeping pace with spending estimates, with the companies' reliance on the debt and equity markets expected to increase from here.

Thought of the Week—*A Constructive Reset:* Despite a volatile summer marked by weakness in AI-related leaders, geopolitical uncertainty and shifting Fed expectations, the broader market remained relatively resilient. Beneath the surface, participation has improved as more stocks joined the advance, even while many individual stocks remained below prior highs. The combination of stronger market breadth and a return to record highs suggests the recent market reset may have strengthened the market's foundation rather than weakened it.

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Portfolio Considerations

We view recent volatility as a rolling correction rather than the end of the cycle. We favor diversified Equity exposure, with potential opportunities extending beyond Growth to Value, Small- and Mid-caps, Non-U.S. Equities (especially Emerging Markets), dividend-focused and thematic strategies.

We favor adjusting portfolios toward strategic durations given attractive elevated nominal and real yields, and see value in high-quality bonds, particularly longer dated municipal bonds.

Consider broader portfolio diversification with potential opportunities across industrial metals, energy, Real/Tangible Assets, Hedge Funds, private markets, and global strategies to capture themes from AI, reindustrialization, infrastructure growth, and market dispersion.

Waiting for the Fed's New Reaction Function

Chief Investment Office, *CIO Macro Strategy Team*

Since the first central banks were created in Sweden and England over 300 years ago, economists and bankers have debated the best way to conduct monetary policy. Generally speaking, the debate has been centered around methods that bankers prefer to smooth their lending business and methods that macroeconomics dictate to control inflation. That's because banks' lending business creates money, and too much money creates inflation, as the Fed recently learned again after the pandemic policy surge in the money supply. The money market rate controlled by central banks is also known in some contexts as the bank rate because it's the key interest-rate metric for the banking business, and controlling it in a steady, responsible way has been the accepted method of central banks through the ages. With the advent of fiat money, which is money that's unbacked by a real asset such as gold, inflation control has become a more important priority for central banks. For example, in the 1800s, a debate between what was known as the Currency School versus the Banking School over the appropriate central bank policy reflected these different priorities between smoothing interest rates for banks versus controlling the money supply to limit inflation.

Investment Implications

A more pro-growth monetary policy is likely to favor assets that benefit from strong profit growth over more defensive assets that benefit from a sluggish economy with rising credit risks.

These debates have resurfaced periodically over time. In the 1970s, the monetarist resurgence to stop the double-digit inflation of the times caused the Fed to implement targets for money supply growth that were eventually dropped once money supply growth stabilized and began to subside, bringing inflation down. In the early 1980s, this stricter money supply control resulted in much more volatility in money market rates, which eventually caused the Fed to return to interest rates as its primary tool for conducting policy. Since then, the Fed has ignored the money supply, raising rates to slow inflation and cutting rates to stimulate a weak economy when inflation is low.

Today's financial media understands policy through this simple lens of using interest rates to control inflation. The new task forces on inflation and the balance sheet are likely to focus more attention on the role the money supply plays in creating inflation. Rather than just raising rates to reduce inflation, the new Fed operational framework will likely incorporate methods that help control money more directly than simply changing interest rates. The new approach to controlling inflation could, in other words, not require knee-jerk interest rate hikes to address a strong growing economy as in the past. Seen in this light, the new Fed Chair's reluctance to raise rates is not inconsistent with a tough stance on inflation.

Does reaction function uncertainty reduce Fed credibility? Some pundits asserted that this hesitation to raise rates reduces the Fed's credibility for achieving its inflation mandate. For example, after the news conference on July 29, long-term interest rates broke out to the highest level in about two decades. Many assumed the higher rates reflected worries about Mr. Warsh's commitment to addressing inflation. A look at market-based indicators of inflation, however, suggests otherwise. Over the past year, nominal interest rates on Treasury securities with 10- and 30-year maturities have risen, but real yields on Treasury Inflation-Protected Securities on the same maturities have risen a bit more. In short, the inflation component of the nominal yield has not risen over the past year. The dominant movement in long-term yields reflects a rise in real rates, not a rise in inflation worries.

After the 2008/2009 Great Financial Crisis (GFC), private sector credit demand collapsed as households and many businesses deleveraged and worked to clean up their balance sheets. The government helped this process with quantitative easing and zero-interest rate policies that caused government borrowing to soar. The post-pandemic period has seen interest rates normalize to pre-GFC levels. The AI boom to finance data centers has created a surge in private sector demand for long-maturity financing which, coupled with big government deficits, has naturally raised the pressure on long-term interest rates. So far, that pressure seems confined to real interest rates with little evidence the boom in AI demand and associated tech price increases have impacted long-term inflation expectations, which remain consistent with a well-anchored outlook.

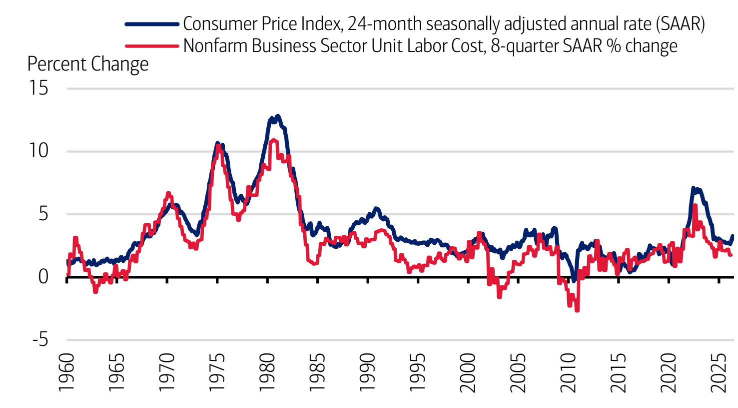
Despite well-anchored inflation expectations, isn't strong growth raising the risk of higher inflation? Energy price volatility and booming semiconductor prices have raised concerns that inflation risks have shifted to the upside. Perhaps inflation expectations are too complacent. Yet, fundamental forces still point to strong disinflation pressures despite all the focus on particular price increases. The broadest macro force for inflation normally can be seen in the labor market. For example, as seen in Exhibit 1A, unit labor costs, which adjust wage increases for productivity increases to look at inflation pressure from the labor market, are consistent with 2% inflation despite the flare-up in inflation from recent one-off factors.

In addition, shelter costs are the single biggest component of consumer prices, accounting for about a third of the index. As seen in Exhibit 1B, since inflation and shelter costs peaked after the pandemic-related housing boom, shelter costs have been declining toward pre-pandemic levels. The rise in home prices and mortgage rates has made housing affordability a much bigger barrier for buyers. The likelihood that mortgage rates have "normalized" at a much higher level since the zero-rate era has ended implies the main route to increased affordability is lower house prices or, at least, muted increases. In addition to housing price disinflation, rent disinflation is also helping to bring down shelter costs. Apartment building surged with the pickup in immigration. The sharp slowdown in immigration has left a glut and put downward pressure on rents. Bottom line: Housing fundamentals point to further disinflation in the biggest component of the consumer price index.

All told, rate increases at the long end of the yield curve are consistent with increased credit demand to finance more long-term investments. The rise has occurred in real rates while the inflation component has remained steady, consistent with well-anchored inflation expectations close to the Fed's target. There is little evidence to suggest the new Fed Chairman has changed these relationships despite media analysis to the contrary. Finally, key fundamental factors behind inflation trends, including wage growth, productivity and shelter costs, remain in disinflation trends that suggest the recent pickup in inflation from various supply shocks is noise rather than signal. This suggests the Fed can remain patient rather than rushing to raise rates anytime soon. Tightening policy to restrain growth would seem to be a mistake under these circumstances.

Exhibit 1: Labor Costs and Housing Dynamics Point to Disinflation Ahead.

A) Labor costs point to lower inflation ahead.



B) Housing disinflation points to lower inflation.

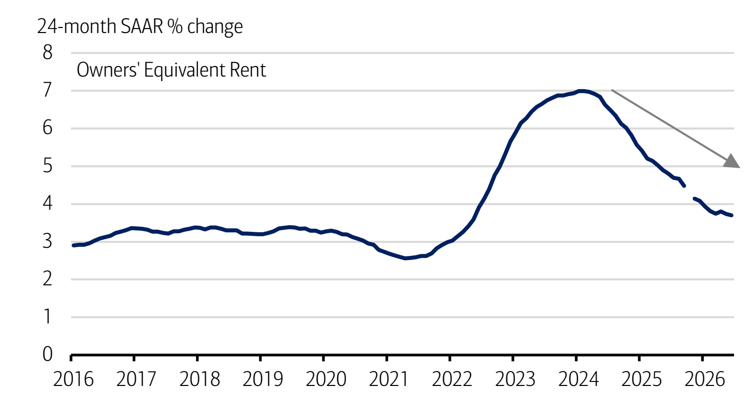


Exhibit 1A) Sources: Bureau of Labor Statistics; Haver Analytics. Data as of July 30, 2026. Exhibit 1B) Sources: Bureau of Labor Statistics; Haver Analytics. Data as of July 14, 2026. Please refer to index definitions at the end of this report.

MARKET VIEW

Market Snippets: The Yen, U.S. Equity Culture and Hyperscalers' Finances

Joseph P. Quinlan, ***Managing Director and Head of Market Strategy***
Ariana Chiu, ***Assistant Vice President and Investment Strategist***

This week, we briefly examine three market-moving variables: yen intervention, America's exceptional Equity culture and the ravenous financing needs of Big Technology.

Keeping the sun from setting on the yen. It's been quite a while—decades, in fact—since the U.S. and Japan have jointly intervened to support the yen, but in late July, authorities did just that after the currency hit a 40-year low of 163 per dollar.

The reasons for the intervention were manifold but, notably, the move was designed to mitigate the risks to the U.S. Treasury market by preventing Japan from selling massive amounts of U.S. Treasurys. As the world's largest holder of U.S. debt (Exhibit 2A), Japan would typically have to sell Treasurys to defend the yen, with sizable selling having the potential to cause a spike in U.S. bond yields and increased U.S. borrowing costs. To avoid such a scenario, enter the U.S. Treasury, which sold euros, not dollars, in defense of the yen—and U.S. Treasurys. Protecting U.S. export competitiveness, providing regional currency stability, and U.S./Japan diplomatic considerations also played a role in the most recent move to support the yen.

Near-term, while joint intervention has put a floor under the yen, the future path of the yen is dependent on the trajectory of Japan bond yields and monetary expectations in Washington and Tokyo. As Exhibit 2B highlights, the yield gap on U.S. and Japan 2-year government bonds has widened significantly this year, undermining demand for the yen relative to the dollar. On balance, joint intervention has staved off the currency speculators for now; however, government support of the yen has not changed the mathematical reality of yields. A sustained recovery in the yen requires a more fundamental shift in macroeconomic policy, i.e., higher interest rates in Japan, along with lower oil prices and measures to stem the deterioration in fiscal health. Japan's gross public debt-to-gross domestic product ratio is roughly 204%, among the highest ratios in the world. The risk is that absent fundamental changes, market forces will eventually overpower the billions spent on intervention. Stay tuned.

Born to own: America's Equity culture is exceptional. Stock markets exist all over the world, but nowhere are equities more embedded in the DNA of a nation than the U.S. Through 401(k)s, Individual Retirement Accounts, pensions, mutual funds, brokerage accounts, employee stock plans, college savings plans and now Trump accounts, tens of millions of U.S. households are directly or indirectly tied to Wall Street. These factors create a durable demand base for U.S. stocks by converting household savings into corporate capital.

Sure, corporate earnings, valuations and interest rates are the primary determinants of asset prices. But so too is America's Equity culture—with a steady flow of household capital helping to finance American ingenuity, risk-taking, innovation and future growth. Markets with deeper Equity cultures tend to enjoy higher levels of liquidity, better corporate governance, greater amounts of risk capital, stronger entrepreneurship, more efficient capital allocation and a larger venture capital ecosystem. As Exhibit 2C underscores, when it comes to equity ownership, there's the U.S. and then the rest of the world. According to the latest data from the Organisation for Economic Co-operation and Development, direct Equity holdings make up 45% of U.S. household financial assets, well ahead of other countries like South Korea (27%), Spain (23%), Japan (16%) and France (10%).

In contrast to America's shareholder society, continental Europe and Japan have traditionally relied on bank financing to allocate capital. In these regions, households have typically held more wealth in bank deposits, government bonds, insurance products and real estate. Meanwhile, China's system is heavily influenced by state-controlled banks, while the primary asset of many Chinese households has traditionally been real estate—a bad bet over the past decade. In many emerging markets, family-controlled conglomerates dominate the capital markets, while households favor property, bank deposits or hard assets like gold.

The downside to America's robust Equity culture is that a bear market on Wall Street can morph into an economic slowdown on Main Street. Bull markets equate to positive wealth effects and more consumer spending, while bear markets have the opposite effect—more

Investment Implications

Interest rate differentials will ultimately drive the path of the yen. Meanwhile, our overweight to U.S. Equities in portfolios remains supported by durable household participation. We continue to like recipients of capital in the AI race with select potential opportunities across infrastructure, power, robotics, biotechnology and cybersecurity.

fear, and less wealth and spending. In addition, despite America's exceptional Equity culture, with mass participation, Equity ownership in the U.S. is highly concentrated, with the top 1% of U.S. households owning nearly 50% of U.S. Equities. Hence, the making of America's K-shaped economy.

Cash is no longer king for hyperscalers. The AI capex cycle remains intact—that's one key lesson of Q2 earnings season, with five hyperscalers reaffirming or upgrading their capex estimates for the year. This cohort is on track to spend nearly $800 billion on capex in 2026 followed by over $1 trillion in spend in 2027, according to consensus estimates. Importantly, hyperscalers' free cash flow, once the primary source of funds for higher capex, is no longer keeping pace with spending estimates and is currently expected to enter slight negative territory this year (Exhibit 2D). Companies previously rich in free cash flow are increasingly reliant on the debt and equity markets to raise capital. Already in 2026, hyperscalers have raised over $300 billion in debt. We'd expect debt funding to increase through year-end and into 2027.

The good news for now is that capex appears increasingly supported by strong revenue growth among major cloud providers and by multi-year customer commitments to purchase compute. On the capacity side, the supply-demand equation is favorable not just in compute but for the physical equipment required to construct data centers. Several risks still bear watching, however, including the level of hyperscalers' off-balance sheet debt, the ability of frontier AI labs to meet contracted commitments, efficiency gains and/or competition that weigh on compute prices, and the impact of long grid interconnection queues on data center construction. Also important to watch will be the path of Treasury yields as hyperscalers rely on the debt markets to raise long-term capital.

For investors, we continue to believe that we're in the early stages of this capital investment cycle. Potential opportunities in infrastructure and power generation should continue to benefit from investment and backlogs. Thematic areas of application like robotics, biotech and cybersecurity remain attractive in our view, as does exposure to basic materials and industrial metals required for the AI buildout.

Exhibit 2: On the Watchlist: Fundamentals in Japan, Household Equity Exposure, and Hyperscaler Balance Sheets.

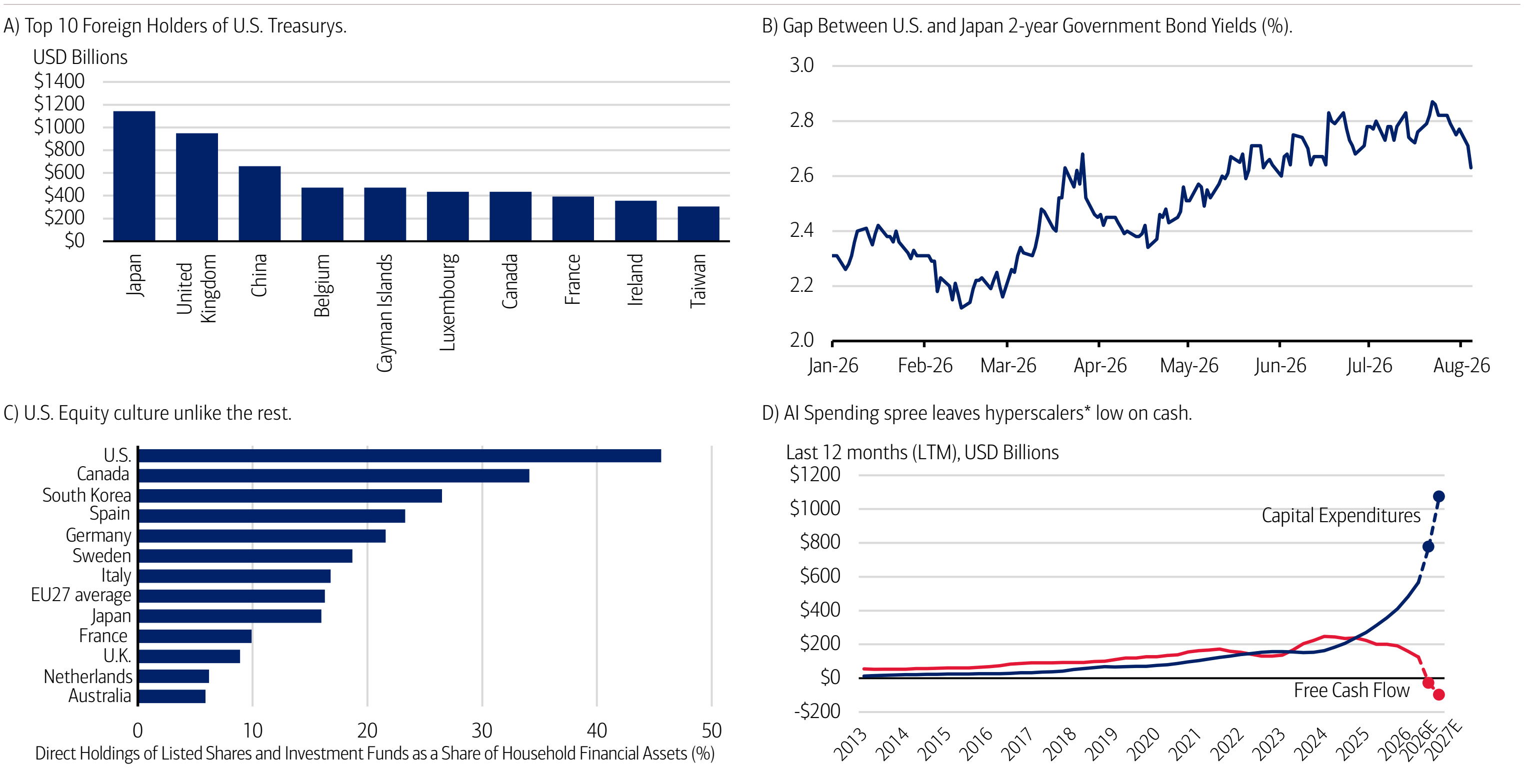


Exhibit 2A) Source: U.S. Treasury. Data as of August 4, 2026. Exhibit 2B) Source: FactSet. Data as of August 6, 2026. Exhibit 2C) Sources: Financial Times; Organisation for Economic Co-operation and Development; Eurostat; Bank of Japan; and Bank of Korea. Data refers to 2025, as of July 26, 2026. E=estimate. Exhibit 2D) *Amazon, Alphabet, Meta, Microsoft, Oracle. Data includes reported figures through Q2 2026 and full-year 2026 and 2027 Bloomberg consensus estimates in dotted lines. Source: Bloomberg. Data as of August 4, 2026. **Past performance is no guarantee of future results.**

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THOUGHT OF THE WEEK

A Constructive Reset

Kirsten Cabacungan, *Vice President and Senior Investment Strategist*

It has been a volatile summer for stocks. The AI trade came under pressure as investors reassessed the sustainability of massive AI-related spending, while renewed geopolitical tensions and uncertainty surrounding the Fed added to market volatility. Yet despite those challenges, the S&P 500 proved remarkably resilient, finishing July down just 0.1% and remaining largely rangebound since late May, with a maximum drawdown of only 5% (Exhibit 3A). The modest move in the headline index, however, masks a more important story beneath the surface.

While several of the market's former leaders corrected sharply, equity market internals have not broadly deteriorated. The AI-driven rally that carried U.S. Equities higher through the spring became increasingly concentrated, culminating in a sharp rally among AI beneficiaries, particularly in semiconductors, with the Philadelphia Semiconductor Index (SOX) gaining more than 100% between late March and its mid June peak. But as that momentum trade unwound and semiconductors entered a bear market, participation across the broader market quietly improved. The percentage of S&P 500 constituents trading above their 200-day moving average rose from 56% at the start of June to 74% in early August, the highest level in nearly two years (Exhibit 3B). The equal-weighted S&P 500 also recorded 14 new all-time highs since June, while the market-cap-weighted index spent two months below its prior peak.

Importantly, the broadening story is still in its early stages. While the S&P 500 has returned to a record high, the average stock is still recovering. The median constituent remains roughly 11% below its 52-week high, a meaningful improvement from the 22% median level seen at the market's March low but still far from the broad-based exuberance often associated with market peaks. Perhaps the most encouraging aspect of the market's return to all-time highs is that the foundation of the rally appears stronger today than it did at the prior peak, as some of the froth has come off and market breadth has improved.

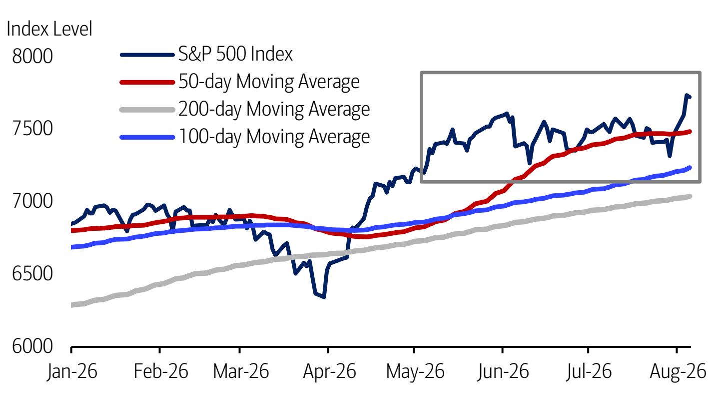
Viewed through that lens, this summer's stagnation appears less like the end of the bull market and more like the reset that may extend it. If earnings growth continues to expand and economic fundamentals remain supportive, there may still be room for more stocks to join the advance. We continue to emphasize diversification in this environment and would view periods of weakness as potential opportunities to rebalance portfolios, particularly toward areas of the market where participation and earnings growth are continuing to broaden beyond traditional Growth leadership.

Investment Implications

We view recent volatility as part of a rolling correction rather than the end of the cycle. Improving market breadth and broadening earnings growth reinforce the importance of maintaining diversified exposure across sectors, styles, and size and geographies.

Exhibit 3: A Stronger Foundation is Forming Beneath the Surface.

A) The S&P 500 remained rangebound despite summer volatility.



B) Market breadth improved during the summer reset.

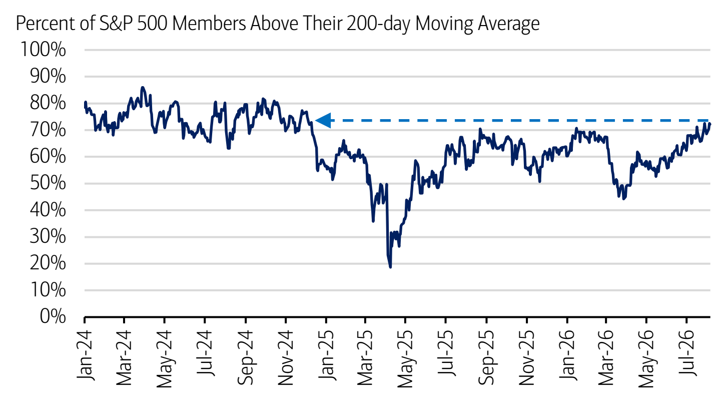


Exhibit 3A) Source: Bloomberg. Data as of August 5, 2026. Exhibit 3B) Source: Bloomberg. Data as of August 5, 2026. **Past performance is no guarantee of future results.** Please refer to index definitions at the end of this report. It is not possible to invest directly in an index.

MARKETS IN REVIEW

Equities

	Total Return in USD (%)			
Equities	Current	WTD	MTD	YTD
DJIA	54,036.93	3.0	3.0	13.4
NASDAQ	26,690.62	5.2	5.2	15.2
S&P 500	7,757.64	3.6	3.6	14.1
S&P 400 Mid Cap	3,885.57	3.4	3.4	18.4
Russell 2000	3,034.49	3.5	3.5	23.1
MSCI World	5,007.84	3.3	3.3	13.9
MSCI EAFE	3,246.08	2.3	2.3	14.1
MSCI Emerging Markets	1,657.82	-0.4	-0.4	19.5

Fixed Income†

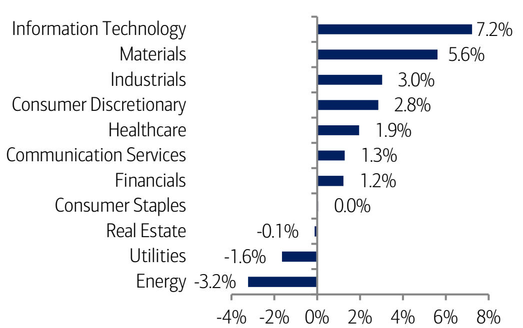
	Total Return in USD (%)			
Fixed Income	Current	WTD	MTD	YTD
Corporate & Government	4.81	0.54	0.54	-0.27
Agencies	4.52	0.35	0.35	0.60
Municipals	3.83	0.68	0.68	1.11
U.S. Investment-Grade Credit	4.90	0.60	0.60	-0.09
International	5.38	0.66	0.66	-0.18
High Yield	7.18	0.73	0.73	2.44
90 Day Yield	3.79	3.75	3.75	3.63
2 Year Yield	4.20	4.29	4.29	3.47
10 Year Yield	4.65	4.73	4.73	4.17
30 Year Yield	5.20	5.27	5.27	4.84

Commodities & Currencies

	Total Return in USD (%)			
Commodities	Current	WTD	MTD	YTD
Bloomberg Commodity	339.14	-0.2	-0.2	22.8
WTI Crude $/Barrel††	78.18	-7.7	-7.7	36.2
Gold Spot $/Ounce††	4341.56	7.3	7.3	0.5

	Total Return in USD (%)			
Currencies	Current	Prior Week End	Prior Month End	2025 Year End
EUR/USD	1.16	1.15	1.15	1.17
USD/JPY	157.76	157.40	157.40	156.71
USD/CNH	6.74	6.75	6.75	6.98

S&P Sector Returns



Sources: Bloomberg, Factset. Total Returns from the period of 08/03/2026 to 08/07/2026. †Bloomberg Barclays Indices. ††Spot price returns. All data as of the 08/07/2026 close. Data would differ if a different time period was displayed. Short-term performance shown to illustrate more recent trend. **Past performance is no guarantee of future results.**

Economic Forecasts (as of 8/7/2026)

Economic Forecasts	Q1 2026A	Q2 2026A	Q3 2026E	Q4 2026E	2026E	2027E
Real global GDP (% y/y annualized)	-	-	-	-	3.2	3.5
Real U.S. GDP (% q/q annualized)	2.1	1.5	2.5	2.4	2.1	2.2
CPI inflation (% y/y)	2.7	3.8	3.2	2.9	3.2	2.0
Core CPI inflation (% y/y)	2.5	2.7	2.4	2.5	2.5	2.5
Unemployment rate (%)	4.3	4.3	4.3	4.2	4.3	4.2
Fed funds rate, end period (%)	3.63	3.63	3.88	4.38	4.38	4.38

The forecasts in the table above are the base line view from BofA Global Research. The Global Wealth & Investment Management (GWIM) Investment Strategy Committee (ISC) may make adjustments to this view over the course of the year and can express upside/downside to these forecasts. Historical data is sourced from Bloomberg, FactSet, and Haver Analytics. **There can be no assurance that the forecasts will be achieved. Economic or financial forecasts are inherently limited and should not be relied on as indicators of future investment performance.**
A = Actual. E/* = Estimate. Data as of August 7, 2026.
Sources: BofA Global Research; GWIM ISC as of August 7, 2026.

Asset Class Weightings (as of 8/4/2026)

	CIO View				
Asset Class	Underweight		Neutral	Overweight	
Global Equities	•	•	•	●	•
U.S. Large-cap Growth	•	•	•	●	•
U.S. Large-cap Value	•	•	•	●	•
U.S. Small-cap Growth	•	•	•	●	•
U.S. Small-cap Value	•	•	•	●	•
International Developed	•	●	•	•	•
Emerging Markets	•	•	•	●	•
Global Fixed Income	•	●	•	•	•
U.S. Governments	•	●	•	•	•
U.S. Mortgages	•	●	•	•	•
U.S. Corporates	•	●	•	•	•
International Fixed Income	•	●	•	•	•
High Yield	•	●	•	•	•
U.S. Investment-grade Tax Exempt	•	●	•	•	•
U.S. High Yield Tax Exempt	•	●	•	•	•
Alternative Investments*					
Hedge Strategies			•		
Private Equity			│		
Private Credit			│		
Real Assets			•		
Cash					

CIO Equity Sector Views

	CIO View				
Sector	Underweight		Neutral	Overweight	
Industrials	•	•	•	●	•
Consumer Discretionary	•	•	•	●	•
Financials	•	•	•	●	•
Information Technology	•	•	●	•	•
Energy	•	•	●	•	•
Materials	•	•	●	•	•
Utilities	•	•	●	•	•
Healthcare	•	•	●	•	•
Communication Services	•	●	•	•	•
Real Estate	•	●	•	•	•
Consumer Staples	•	●	•	•	•

* Many products that pursue Alternative Investment strategies, specifically Private Equity and Hedge Funds, are available only to qualified investors. CIO asset class views are relative to the CIO Strategic Asset Allocation (SAA) of a multi-asset portfolio. Source: Chief Investment Office as of August 4, 2026. All sector and asset allocation recommendations must be considered in the context of an individual investor's goals, time horizon, liquidity needs and risk tolerance. Not all recommendations will be in the best interest of all investors.

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Index Definitions

Securities indexes assume reinvestment of all distributions and interest payments. Indexes are unmanaged and do not take into account fees or expenses. It is not possible to invest directly in an index. Indexes are all based in U.S. dollars.

S&P 500 Index is a stock market index tracking the stock performance of 500 leading companies listed on stock exchanges in the United States.

Consumer Price Index is an official measure of the average change over time in prices paid by urban consumers for a market basket of everyday goods and services.

Philadelphia Semiconductor Index is a market-cap-weighted index focusing on 30 leading semiconductor firms, offering insights into the tech market.

S&P 500 Equal-Weighted Index is the equal-weight version of the widely-used S&P 500. The index includes the same constituents as the capitalization weighted S&P 500, but each company in the S&P 500 EWI is allocated a fixed weight - or 0.2% of the index total at each quarterly rebalance.

S&P 500 Market-cap-Weighted Index is a capitalization-weighted index ranks stocks based on market capitalization, giving larger companies more influence, such as the S&P 500.

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All recommendations must be considered in the context of an individual investor's goals, time horizon, liquidity needs and risk tolerance. Not all recommendations will be in the best interest of all investors.

Asset allocation, diversification and rebalancing do not ensure a profit or protect against loss in declining markets.

Investments have varying degrees of risk. Some of the risks involved with equity securities include the possibility that the value of the stocks may fluctuate in response to events specific to the companies or markets, as well as economic, political or social events in the U.S. or abroad. Small cap and mid cap companies pose special risks, including possible illiquidity and greater price volatility than funds consisting of larger, more established companies. Investing in fixed-income securities may involve certain risks, including the credit quality of individual issuers, possible prepayments, market or economic developments and yields and share price fluctuations due to changes in interest rates. When interest rates go up, bond prices typically drop, and vice versa. Investments in high-yield bonds (sometimes referred to as "junk bonds") offer the potential for high current income and attractive total return, but involves certain risks. Changes in economic conditions or other circumstances may adversely affect a junk bond issuer's ability to make principal and interest payments. Income from investing in municipal bonds is generally exempt from Federal and state taxes for residents of the issuing state. While the interest income is tax-exempt, any capital gains distributed are taxable to the investor. Income for some investors may be subject to the Federal Alternative Minimum Tax (AMT). Treasury bills are less volatile than longer-term fixed income securities and are guaranteed as to timely payment of principal and interest by the U.S. government. Bonds are subject to interest rate, inflation and credit risks. Investments in foreign securities (including ADRs) involve special risks, including foreign currency risk and the possibility of substantial volatility due to adverse political, economic or other developments. These risks are magnified for investments made in emerging markets. Investments in a certain industry or sector may pose additional risk due to lack of diversification and sector concentration. There are special risks associated with an investment in commodities, such as gold, including market price fluctuations, regulatory changes, interest rate changes, credit risk, economic changes and the impact of adverse political or financial factors.

Alternative investments are speculative and involve a high degree of risk.

Alternative investments are intended for qualified investors only. Alternative Investments such as derivatives, hedge funds, private credit, private equity funds, and funds of funds can result in higher return potential but also higher loss potential. Changes in economic conditions or other circumstances may adversely affect your investments. Before you invest in alternative investments, you should consider your overall financial situation, how much money you have to invest, your need for liquidity, and your tolerance for risk.

Nonfinancial assets, such as closely held businesses, real estate, fine art, oil, gas and mineral properties, and timber, farm and ranch land, are complex in nature and involve risks including total loss of value. Special risk considerations include natural events (for example, earthquakes or fires), complex tax considerations, and lack of liquidity. Nonfinancial assets are not in the best interest of all investors. Always consult with your independent attorney, tax advisor, investment manager, and insurance agent for final recommendations and before changing or implementing any financial, tax, or estate planning strategy.

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CHIEF INVESTMENT OFFICE

Capital Market Outlook

August 3, 2026

All data, projections and opinions are as of the date of this report and subject to change.

IN THIS ISSUE

Macro Strategy—*Still Waiting for Europe:* Two Years Post-Draghi Report: Nearly two years after the release of the landmark "Draghi report" in September 2024, the progress report isn't pretty. An estimated 15.7% of the report's recommendations have been implemented, up modestly from 11.2% a year ago. That's tough news for a continent battling to maintain economic influence. Indeed, while America's share of global output has remained resilient in the face of China's rise over the last two decades, Europe's share has not. Chief among the forces working against Europe in recent years has been so-called "China Shock 2.0": an ongoing onslaught of exports targeted at both low- and high-value goods. In part due to protectionism from the U.S., China's overflow of goods has increasingly been routed to Europe—so much so that China's trade surplus with the European Union (EU) has now surpassed its surplus with the U.S. Whereas America's manufacturing sector proved the primary victim of China Shock 1.0, Europe has emerged as the poster child of China Shock 2.0 with its manufacturing sector feeling the pain of low-cost competition in everything from electric vehicles to chemicals to pharmaceuticals. With China Shock 2.0 intensifying, energy vulnerabilities, lagging productivity, and limited Artificial Intelligence (AI) innovation, our preference for the U.S. over the old continent remains unchanged.

Market View—*No More Surprises—Six "Surprises" That Shouldn't Surprise Investors:* From unsettled geopolitics to fractured global supply chains to AI disruptions, investors have had to navigate various crosscurrents over the past few years. Yet amid the gloom, the dire predictions of the worrywarts have repeatedly failed to materialize, "surprising" market bears. This week we outline six so-called "surprises" that shouldn't surprise investors. One, the U.S. consumer refuses to quit, supported by immense purchasing power, rising home values, appreciating financial assets, solid wage gains and a dynamic labor market. Two, higher oil prices no longer break America thanks to a U.S. economy that's more energy-efficient and less dependent on foreign supplies. Three, the U.S. dollar remains king, backstopped by the world's largest government bond market, deepest capital markets, strongest property rights and broadest range of investable assets. Four, deficits matter, but America's financing advantages, asset base, innovation and resilience provide time and flexibility. Five, corporate America keeps exceeding expectations by adapting, automating, restructuring, repricing and relentlessly pursuing productivity gains. Six, America remains one of the most shock-resistant economies in the world, helping markets adjust, reset and grind higher over the long run. The broader lesson for investors: Many so-called "surprises" are not surprises at all.

The Ticker Tape—*Top Questions Answered Directly by Our Chief Investment Officer (CIO).*

- Is the semiconductor and broader AI buildout chain capital investment cycle rolling over, and have we experienced the top in the cycle?

AUTHORS

Ariana Chiu
Assistant Vice President and Investment Strategist

Joseph Quinlan
Managing Director and Head of Market Strategy

Christopher Hyzy
Chief Investment Officer

Portfolio Considerations

The "Era of Transformation" is being driven by innovation, capital investment, infrastructure needs and evolving themes that extend from short-term resilience and earnings growth to longer-term Rebalancing, Re-globalization, Reconstruction and Rearmament.

Persistent shortages across AI-related resources, infrastructure, minerals and defense equipment are expected to support productivity, profit margins, asset-price growth and attractive potential opportunities across global equity markets, despite periodic "bullwhip" market volatility.

We remain overweight U.S. and Emerging Market Equities—favoring Industrials, Financials and Consumer Discretionary—while maintaining balanced exposure between Growth and Value—and views higher Fixed Income yields as attractive for income, diversification and risk compensation.

MACRO STRATEGY

Still Waiting for Europe: Two Years Post-Draghi Report

Arianna Chiu, ***Assistant Vice President and Investment Strategist***

"It's 'do this' or it's a slow agony." – Mario Draghi

So said the former European Central Bank president upon the release of his landmark "Draghi report" in September 2024. In the report, Draghi laid out over 380 recommendations for how Europe could reignite growth and avoid "slow agony" in the face of fracturing geopolitics, technological change and fierce competition from overseas.

Nearly two years later, the progress report isn't pretty. The latest analysis from the European Policy Innovation Council (EPIC) suggests that just 15.7% of Draghi's recommendations have been implemented as of July 2026, a rather modest improvement from 11.2% a year ago. Some progress has been born of necessity, such as phasing out natural gas imports from Russia or spending more on defense. The more difficult reforms—stronger single market integration, unified capital markets, large-scale private investment, reducing critical material dependencies—are slow going. As EPIC concludes in its report, "the update confirms that Europe remains better at building legal architecture than at forcing market outcomes."

Those are tough words for a continent battling to maintain economic influence. According to figures from the International Monetary Fund, the EU and the UK (EU28) today make up 21% of global gross domestic product (GDP)—or roughly half the combined share of the U.S. (26%) and China (17%). Twenty years ago, the order looked different: EU28 accounted for 30% of world output, while the U.S. accounted for 27% and China a mere 5%. America's share of the global pie has remained resilient in the face of China's rise over the last two decades. Europe's share? Not so much.

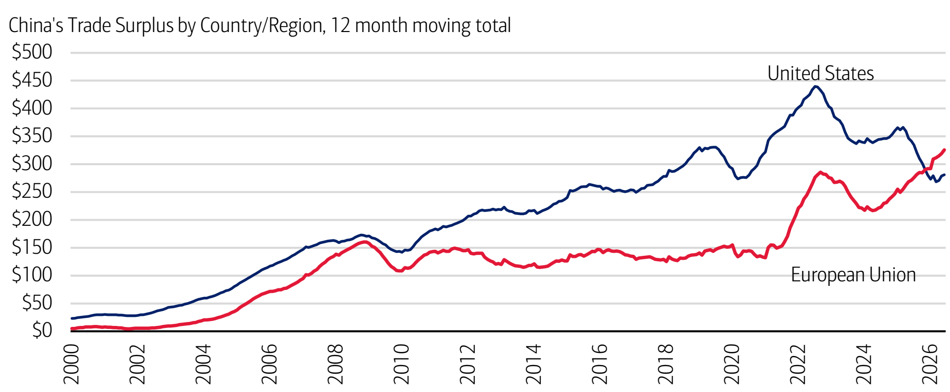
Chief among the forces working against Europe in recent years has been so-called "China Shock 2.0". Unlike the first "China shock", which featured a surge in low-value merchandise exports (textiles, apparel, furniture, etc.) following China's accession to the World Trade Organization in 2001, the latest onslaught of exports has targeted both low-value and high-value goods (electric vehicles, batteries, advanced machinery, electronics, etc.). And while America's manufacturing sector was the primary victim of China Shock 1.0, Europe has emerged as the poster child of China Shock 2.0.

Case in point: China's widening trade surplus with the EU, now running at an annual pace of $326 billion. That's more than double where it was entering this decade. In part due to protectionist measures from the U.S., China's overflow of goods has increasingly been routed to Europe and the rest of the world—so much so that, for the first time in history, China's trade surplus with the EU has surpassed its surplus with the U.S. (Exhibit 1). For comparison, at the start of the decade, China's surplus with the U.S. was nearly double its surplus with the EU.

Investment Implications

We continue to prefer the U.S. and Emerging Markets over International Developed Equities. Manufacturing-led economies in Europe remain exposed to competition from China in key industries. Still, European markets can provide strategic exposure to Value and diversification away from mega-cap Technology stocks in portfolios.

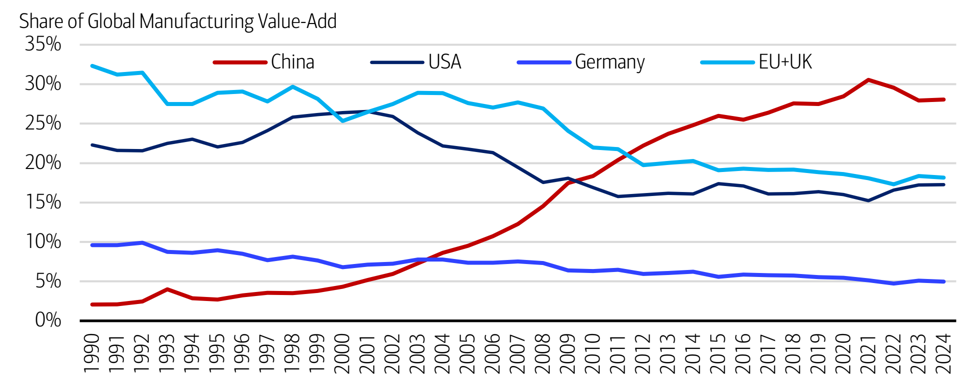
Exhibit 1: China Shock 2.0 is All About Europe.



Source: China General Administration of Customs. Data through June 2026 as of July 14, 2026.

Indeed, just as a flood of cheap imports from China gutted America's manufacturing base in the early-to-mid 2000s, Europe's manufacturing sector is feeling the pain of low-cost competition from China in everything from electric vehicles to chemicals to pharmaceuticals. Compared to China's near-30% share of global manufacturing output, the EU28's share has stagnated at roughly 18% of the global total, while Germany's has declined to 5% (Exhibit 2). Meanwhile, Chinese brands are gaining share where Europe cares most: in autos, for example, brands home to Beijing captured a record 10.9% of Europe's new car sales in June after out-selling Japan brands in Europe for the first time in May.[1] Surveys of European auto suppliers haven't been promising, either, with just 10% planning to increase production capacity in Western Europe over the next five years versus 49% in North America and 35% in China, according to the European Association of Automotive Suppliers and McKinsey

Exhibit 2: Europe and U.S. Lag in Share of Global Manufacturing.



Source: United Nations. Data as of July 2026.

And China's not the only culprit. Yes, huge government subsidies have turbocharged China's expansion across industries, with the Organisation for Economic Co-operation and Development estimating in June that subsidies alone explain nearly 60% of China firms' gain in global market share between 2005 and 2023. But a recent report from the European Trade Union Confederation points also to the more general "financialization" of Europe's largest companies—i.e., reorienting away from long-run productive investment in favor of short-run shareholder value. Owing in part to Europe's corporate tax system, corporations have increasingly absorbed profits into corporate balance sheets rather than recycling capital back into production and the broader economy. In fact, since 2009, the EU's non-financial corporate sector has saved more than it's invested, with net lending by corporations reaching 1.2% of the EU's GDP in 2024.[2]

Add low productive domestic investment to intense competition from China, and the case for Europe as a region ripe for future growth becomes a hard sell. Not helping matters: outside of its monopoly on extreme ultraviolet lithography (for now), the region has proven a relative bystander in the AI race while competition between frontier models out of the U.S. and China intensifies. Perhaps Brussels-based think tank Bruegel put it best: "Europe is, in effect, an indispensable input supplier to a race in which it does not itself compete."

All the reasons above support our tactical underweight to International Developed markets. Europe's bias toward sectors like Financials, Industrials and Healthcare can still be a helpful diversifier in portfolios in our view, particularly as Technology now accounts for 37% of the S&P 500 and 41% of the MSCI Emerging Markets Index versus 9% of the MSCI Europe Index. But with China Shock 2.0 intensifying, ongoing vulnerabilities to energy shocks, lagging productivity, and limited AI innovation, our preference for the U.S. over the old continent remains unchanged. Two years after Mario Draghi's landmark report, we're still waiting for Europe

[1] European Automobile Manufacturers' Association.

[2] For more, see "Labour Squeezed, Investment Stalled: The Hidden Cost of Financialisation in Europe's Corporate Sector" from the European Trade Union Confederation.

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No More Surprises—Six "Surprises" That Shouldn't Surprise Investors

***Joseph Quinlan**, Managing Director and Head of Market Strategy*

Investors have had to navigate various crosscurrents over the past few years, ranging from unsettled geopolitics, to fractured global supply chains, to disruptions from AI. Each one of these forces—and others—has triggered a chorus of worry among market pessimists. Yet amid the gloom, something curious keeps happening—the dire predictions of the worrywarts never happen, disappointing and "surprising" market bears. From our vantage point, successful investing requires distinguishing between genuine surprises and developments that merely surprise those bearish on the U.S. In that spirit, we briefly outline six so-called "surprises" that shouldn't surprise investors.

Surprise #1: The U.S. Consumer Refuses to Quit. To the "surprise" of many investors, U.S. consumers continue to spend—even in the face of rising inflation, higher interest rates, exploding credit card balances, debilitating levels of student loan debt and shaky consumer confidence. All these factors have lent support to those worrying about a consumer-led recession. However, what the bears miss is this: The reservoir of U.S. consumer purchasing power remains immense, backstopped by rising home values, appreciating financial assets, solid wage gains and a dynamic labor market. Yes, higher energy prices have caused consumers to trade down on products and services. And macro shocks cause consumers to postpone discretionary purchases but spending on services and essentials continues. This adaptability, along with exceptional underlying wealth, has long made betting against the American consumer a losing proposition.

Surprise #2: Higher Oil Prices No Longer Break America. Yes, crude oil prices matter, but they matter less in a U.S. economy that is more energy-efficient and less energy-dependent on foreign supplies. We are a long way from the 1970s and 1980s, when the U.S. was a significant importer of energy and thus vulnerable to repeated oil shocks that acted as a massive tax on households and businesses. Thanks to the shale revolution, the U.S. is now one of the world's largest energy producers. This serves as a buffer to volatility in the Middle East, as well as a cushion to growth since when energy prices rise in the U.S., massive segments of the domestic economy—from Texas oil fields to infrastructure and equipment suppliers—thrive. Meanwhile, energy represents a much smaller share of household spending than it did decades ago. Modern vehicles are dramatically more fuel efficient, as is the U.S. economy, which generates more output from services, software, healthcare, finance and technology than from energy-intensive manufacturing. Higher oil prices still hurt consumers at the pump, but it is important to remember—or not be surprised—that America has become significantly less vulnerable to oil shocks due to a more diversified economy and expanding domestic energy production.

Surprise #3: The U.S. Dollar Remains King. Writing the obituary for the U.S. dollar is almost a cottage industry in the U.S., so imagine the "surprise" every time the greenback bounces back or becomes a safe-haven asset for investors in times of trouble. The dollar's world reserve status continues due in large part to the fact that the U.S. possesses the world's largest government bond market, deepest capital markets, strongest property rights, and broadest range of investable assets. The buck is also backstopped by the largest and most resilient economy in the world, which maintains a steady inflow of foreign capital into U.S. securities. Global trade, commodities, banking and financial contracts remain overwhelmingly denominated in dollars because the participants trust the institutions behind the currency. Meanwhile, Europe is weighed down by structural demographic challenges, sluggish growth, and strict regulations. China faces deep real estate vulnerabilities, regulatory unpredictability, and maintains a closed capital account. And the emerging markets carry volatile currency risks and political instability. The upshot for investors: stay long U.S. dollar-denominated assets and don't be "surprised" by the enduring strength and attractiveness of the greenback.

Surprise #4: America's Budget Deficit Has Not Triggered Financial Armageddon. Trillion-dollar deficits, mounting debt and debt service levels, and relentless congressional borrowing continue to generate anxiety among investors and for good reasons. Deficits matter. But what matters more is America's ability and capacity to service its deficit and debt, and on this basis, the U.S. is not staring down the barrel of financial Armageddon.

Investment Implications

We maintain our overweight to U.S. Equities and U.S. dollar-denominated assets in portfolios owing to America's unmatched capacity to drive productivity, embrace innovation, and absorb macro shocks. We'd use any bouts of volatility to add on weakness given still-strong fundamentals.

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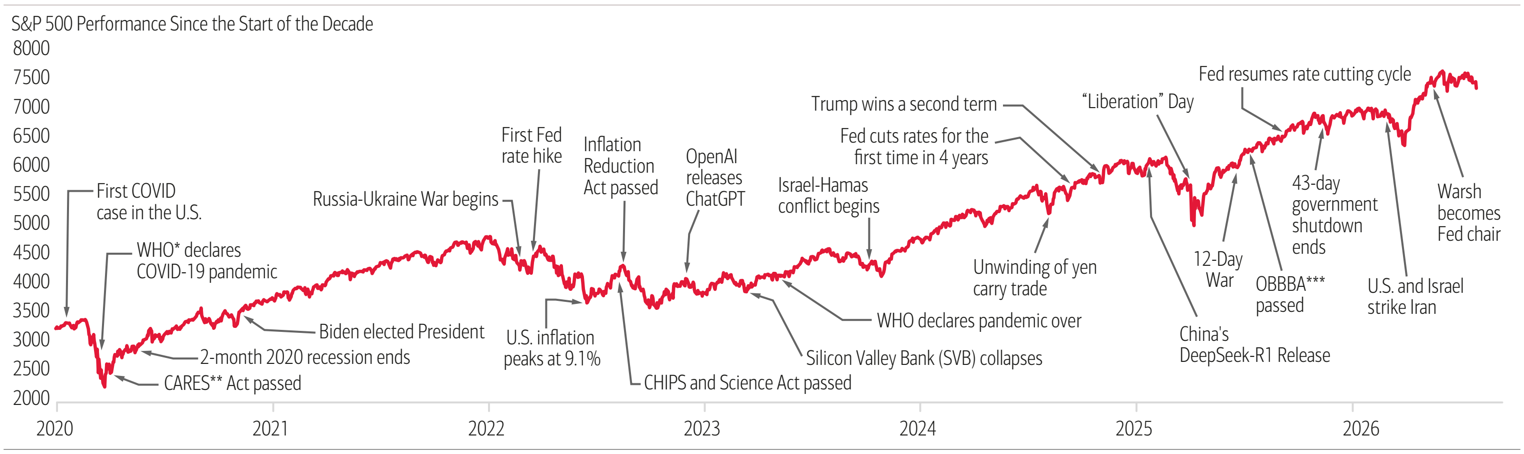
The U.S. possesses financing advantages unique to the rest of the world—it borrows in its own currency, its debt market remains the global benchmark for safety and liquidity, and Treasurys remain the world's preferred reserve asset. In addition, America's asset base is extraordinary: the economy remains the largest and most innovative in the world, supported by abundant natural resources, world-class universities, and an unmatched entrepreneurial ecosystem. All the above provides the U.S. the time, flexibility and resilience to run budget deficits—to the "surprise" of investors. On the assumption that U.S. nominal GDP, corporate profits, productivity, and tax revenues continue to grow faster than the government's financing obligations, the debt markets are likely to tolerate U.S. deficit/debt levels that would be unsustainable almost anywhere else.

Surprise #5: U.S. Corporate Earnings Keep Exceeding Expectations. If there is one forecast that consistently "surprises" investors to the upside, it is the earnings power of Corporate America. Nearly every economic slowdown, interest-rate jolt, geopolitical crisis or policy scare is accompanied by downside profit warnings. Yet time after time, Corporate America has proven to be remarkably adept at exceeding expectations. That's not surprising since U.S. firms are some of the most adaptive in the world. Faced with rising costs, firms automate, adopt new technologies, restructure operations, reskill workers, streamline supply chains, reprice products and services, and relentlessly pursue productivity gains. Standing still isn't an option, nor is hoping for a government bailout or a favorable line of credit. In the U.S. ecosystem, you either adapt or die. The result is a corporate sector that continuously reinvents itself faster than analysts revise their forecasts. Just as important, the composition of corporate earnings has changed over the decades. Today's largest companies derive significant value from software, data, intellectual property, brands, platforms and networks rather than heavy physical assets. These allow for scale, competitive moats, and higher profit margins. This structural shift has increased the resilience of corporate profits, to the "surprise" of many investors.

Surprise #6: America Remains One of the Most Shock-Resistant Economies in the World. The greatest "surprise" of all to investors is how well the U.S. economy has been able to absorb various macro shocks that have sunk, derailed or structurally impaired other economies. A pandemic, a ground war in the heart of Europe, sweeping U.S. tariffs on the global trading system, the closure of the Strait of Hormuz—what hasn't been thrown at the economy and capital markets this decade? And yet, owing to America's capacity to drive productivity, embrace innovation and relentlessly reinvent itself, U.S. nominal GDP thus far in the 2020s has increased a staggering $10.5 trillion since the start of the decade. Meanwhile, as Exhibit 3 highlights, notwithstanding various macro shocks and jolts since 2020, the S&P 500 has continued to rise and climb—the direction, as we like to say, has been up and to the right. As of the end of July 2026, the S&P has managed a total return of 155%, which equates to annualized returns of 15.3%, above the historic average of 11.7% going back to 1945. Today, the ability to absorb shocks is all the more relevant as the markets question the credibility of the Warsh-led Federal Reserve (Fed) following last week's Federal Open Market Committee meeting. Volatility and uncertainty have become near-term market staples. But that said, don't be "surprised" to see the market adjust and reset and continue to grind higher over the long run.

Exhibit 3: Charting the Roaring and Roiling 2020s.



*World Health Organization. **Coronavirus Aid, Relief, and Economic Security Act. *** One Big Beautiful Bill Act. Source: Bloomberg. Data as of July 30, 2026. It is not possible to invest directly in an index. Please refer to index definitions at the end of this report. **Past performance is no guarantee of future results.**

Is the semiconductor and broader AI buildout chain capital investment cycle rolling over, and have we experienced the top in the cycle?

Christopher Hyzy, *Chief Investment Officer*

We don't believe the latest sharp downdraft across the semiconductor and AI buildout chain is a sign that the top from June is in. The components needed to acquire the necessary compute and power are still in short supply, while the capital investment spend is still increasing. Secondly, this area of the market has traditionally experienced corrections during "speed bump" periods as the computing innovation adjusts. Building the infrastructure as the innovation transitions from training to agentic to quantum and physical AI could enter periods that require tactical shifts. Ultimately, growth rates remain high as shortages in key areas still exist across the entire supply chain. Execution of this entire process given the coordination needed can have speed bumps. Do the speed bumps turn into major slowdowns and/or recessions? They can, but this is typically late cycle not early to mid as we are currently, in our view. In order to assess the magnitude of risk to the growth outlook, we will continue to closely watch both the associated spreads of debt financing that has been increasing as well as the insurance cost of protecting against defaults (credit default swaps–CDS) across the AI space in the coming months, particularly as longer dated Treasury yields pick up (as of July 29, 30-Year Treasury yields are now at their highest levels since 2007). Finally, we believe the sharp downdraft across the semiconductor and AI buildout chain was also exacerbated by a clearing event of over-levered investors that may have had to sell indiscriminately as the momentum in the space gathered steam in the past one to two weeks. Clearing events can help establish a more normal path forward in which investors begin to focus back on the fundamentals and less on trading and technicals.

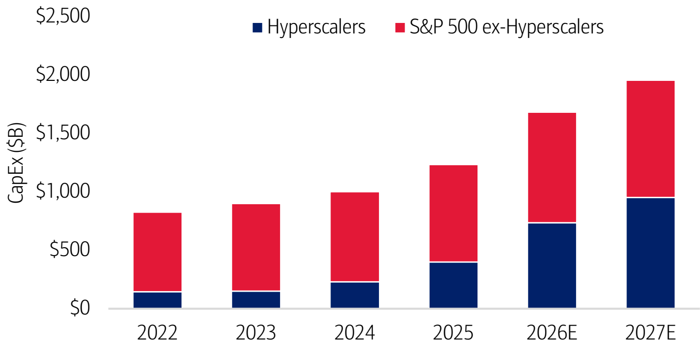
As of late July, according to BofA Global Research, The MSCI Global Semiconductor Index had fallen more than 20% from recent June highs. Performance following past pullbacks since 1999 in global semis differ greatly depending on whether a recession follows. After previous pullbacks of similar magnitude, BofA Global Research also found that the average 12-month return was 44% when recession was avoided and 12% when a recession ensued. U.S. semis performed even better when a recession was avoided, rising 49%, but gained only 1% when a recession followed. None of the global cycle indicators show signs of an impending downturn. The signal from the Global Wave[3] is positive for the sixth month. The global earnings revision ratio improved to 1.0, and, for global semis, the ratio sits at a four-and-a-half year high of 1.41. That said, recovery could take some time. On average, it took eight months for semis to recover the 14% pullback, seven months when recessions did not follow. Given the latest forward guidance by key leaders in the AI buildout space, we expect this cycle's recovery to be quicker than those experienced in the past. Overexposure to the semiconductor and capital equipment space became extended at the end of June, and this latest correction is more a sign of derisking than a sign of a large scale slow down.

Investment Implications

We expect the semiconductor-led pullback to be a temporary derisking event rather than a major slowdown, supporting a faster recovery than in past cycles. We believe the recent market volatility appears to be a potential buying opportunity rather than a reason to stay on the sidelines.

Exhibit 4: Speed Bumps are Normal, Keep an Eye on Fundamentals.

A) Capital Expenditures (CAPEX) Full Steam Ahead.



B) MSCI Global Semiconductor Index down over 20% since its June high.

E=estimate. Exhibit 4A) Hyperscalers: Amazon, Google, Meta, Microsoft, Oracle. Source: FactSet. Data as of July 30, 2026. Exhibit 4B) Green dots represent peak. Red dots represent drawdowns of more than 20% from its peak. Source: Bloomberg. Data as of July 29, 2026. It is not possible to invest directly in an index. Please refer to index definitions at the end of this report. **Past performance is no guarantee of future results.**

[3] BofA Global Research model to assess trends in the global economy.

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Equities

Equities	Total Return in USD (%) Current	WTD	MTD	YTD
DJIA	52,485.03	1.0	0.4	10.2
NASDAQ	25,373.85	1.6	-3.2	9.5
S&P 500	7,489.72	1.1	-0.1	10.1
S&P 400 Mid Cap	3,758.64	-0.7	-2.4	14.5
Russell 2000	2,931.34	0.1	-3.0	18.9
MSCI World	4,847.88	1.2	0.5	10.3
MSCI EAFE	3,176.14	2.0	2.0	11.6
MSCI Emerging Markets	1,665.89	2.4	-3.1	20.0

Fixed Income†

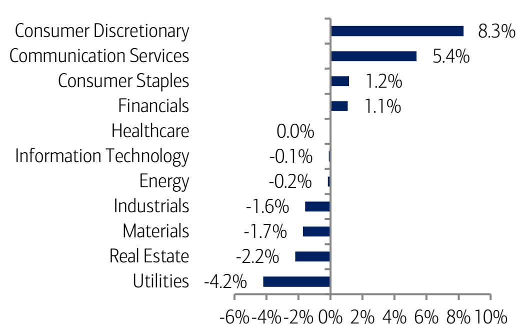
Fixed Income	Total Return in USD (%) Current	WTD	MTD	YTD
Corporate & Government	4.88	-0.09	-1.29	-0.80
Agencies	4.59	0.09	-0.36	0.25
Municipals	3.93	0.13	-1.85	0.43
U.S. Investment-Grade Credit	4.98	-0.12	-1.30	-0.69
International	5.46	-0.06	-1.67	-0.83
High Yield	7.41	0.18	-0.25	1.71
90 Day Yield	3.75	3.90	3.81	3.63
2 Year Yield	4.29	4.33	4.17	3.47
10 Year Yield	4.73	4.68	4.47	4.17
30 Year Yield	5.27	5.16	4.95	4.84

Commodities & Currencies

Commodities	Total Return in USD (%) Current	WTD	MTD	YTD
Bloomberg Commodity	339.73	-2.1	7.5	23.0
WTI Crude $/Barrel††	84.67	-5.2	21.8	47.5
Gold Spot $/Ounce††	4046.15	-0.2	1.0	-6.3

Currencies	Total Return in USD (%) Current	Prior Week End	Prior Month End	2025 Year End
EUR/USD	1.15	1.14	1.14	1.17
USD/JPY	157.40	163.83	162.55	156.71
USD/CNH	6.75	6.77	6.79	6.98

S&P Sector Returns



Sources: Bloomberg, Factset. Total Returns from the period of 07/27/2026 to 07/31/2026. †Bloomberg Barclays Indices. ††Spot price returns. All data as of the 07/31/2026 close. Data would differ if a different time period was displayed. Short-term performance shown to illustrate more recent trend. **Past performance is no guarantee of future results.**

Economic Forecasts (as of 7/31/2026)

Economic Forecasts	Q1 2026A	Q2 2026A	Q3 2026E	Q4 2026E	2026E	2027E
Real global GDP (% y/y annualized)	-	-	-	-	3.2	3.5
Real U.S. GDP (% q/q annualized)	2.1	1.5	2.5	2.4	2.1	2.2
CPI inflation (% y/y)	2.7	3.8	3.2	2.9	3.2	2.0
Core CPI inflation (% y/y)	2.5	2.7	2.4	2.5	2.5	2.5
Unemployment rate (%)	4.3	4.3	4.3	4.2	4.3	4.2
Fed funds rate, end period (%)	3.63	3.63	3.88	4.38	4.38	4.38

The forecasts in the table above are the base line view from BofA Global Research. The Global Wealth & Investment Management (GWIM) Investment Strategy Committee (ISC) may make adjustments to this view over the course of the year and can express upside/downside to these forecasts. Historical data is sourced from Bloomberg, FactSet, and Haver Analytics. **There can be no assurance that the forecasts will be achieved. Economic or financial forecasts are inherently limited and should not be relied on as indicators of future investment performance.**
A = Actual. E/* = Estimate. Data as of July 31, 2026.
Sources: BofA Global Research; GWIM ISC as of July 31, 2026.

Asset Class Weightings (as of 7/7/2026)

Asset Class	CIO View Underweight		Neutral	Overweight	
Global Equities				●	
U.S. Large-cap Growth				●	
U.S. Large-cap Value				●	
U.S. Small-cap Growth				●	
U.S. Small-cap Value				●	
International Developed		●			
Emerging Markets				●	
Global Fixed Income		●			
U.S. Governments		●			
U.S. Mortgages		●			
U.S. Corporates		●			
International Fixed Income		●			
High Yield		●			
U.S. Investment-grade Tax Exempt		●			
U.S. High Yield Tax Exempt		●			
Alternative Investments*					
Hedge Strategies			●		
Private Equity			●		
Private Credit			●		
Real Assets			●		
Cash					

CIO Equity Sector Views

Sector	CIO View Underweight		Neutral	Overweight	
Industrials				●	
Consumer Discretionary				●	
Financials				●	
Information Technology			●		
Energy			●		
Materials			●		
Utilities			●		
Healthcare			●		
Communication Services		●			
Real Estate		●			
Consumer Staples		●			

* Many products that pursue Alternative Investment strategies, specifically Private Equity and Hedge Funds, are available only to qualified investors. CIO asset class views are relative to the CIO Strategic Asset Allocation (SAA) of a multi-asset portfolio. Source: Chief Investment Office as of July 7, 2026. All sector and asset allocation recommendations must be considered in the context of an individual investor's goals, time horizon, liquidity needs and risk tolerance. Not all recommendations will be in the best interest of all investors.

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Index Definitions

Securities indexes assume reinvestment of all distributions and interest payments. Indexes are unmanaged and do not take into account fees or expenses. It is not possible to invest directly in an index. Indexes are all based in U.S. dollars.

S&P 500 Index is a stock market index tracking the stock performance of 500 leading companies listed on stock exchanges in the United States.

MSCI Emerging Markets Index captures large and mid-cap representation across Emerging Markets (EM) countries.

MSCI Europe Index captures large and mid cap representation across Developed Markets (DM) countries in Europe.

MSCI Global Semiconductor Index is composed of large and mid-cap stocks across Developed Markets (DM) countries.

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CHIEF INVESTMENT OFFICE

Capital Market Outlook

July 27, 2026

All data, projections and opinions are as of the date of this report and subject to change.

IN THIS ISSUE

Macro Strategy—*Moderate Growth, Anchored Inflation, Resilient Risk Appetite:* Markets have so far treated the Iran war as a temporary oil-supply disturbance. Combined with moderate U.S. growth and tempered inflation expectations, this view limited the increase in bond yields and bond yield volatility despite surging oil prices—a positive for risk-asset performance. The gold-to-copper ratio has reversed its spike spurred by the April 2025 tariff shock and extended through the March 2026 start of the Iran war, consistent with easing growth concerns and a risk-on market tilt. Rising copper prices have confirmed growth support from Artifical Intelligence (AI)-investment and broader electrification efforts, while also reflecting supply factors (high fuel costs; war-related shortages of sulfuric acid used in copper production; mining setbacks; tariffs, and rising China refined-copper imports due to smelter maintenance and other pressures not purely end-demand driven). Overall, the data suggests the economy likely retains a sufficient cushion to absorb the current oil price shock, allowing the expansion to continue at a moderate pace. However, escalating geopolitical conflicts increase growth and inflation risks.

Market View—*International Equity Markets:* Strengths, Weaknesses, Opportunities and Challenges: Recent weakness in the Technology sector has highlighted a major dividing line across international equity markets, underscoring the importance of the group to relative returns internationally. A key question for investors will therefore be whether the advance in technology-linked markets can continue, particularly within upstream segments related to AI data center investment. Meanwhile, the return of energy supply constraints in the Middle East poses a growing risk to European and Asian markets. Though both were able to withstand the disruptions to production, shipping and prices during the first phase of the Iran conflict, the July re-escalation could potentially be more challenging should it persist over the weeks and months ahead.

Thought of the Week—*Behind the Surge in Business Formation: The "Solopreneur":* U.S. business applications are running north of 6 million over the 12 months through June 2026. In other words, entrepreneurial activity is booming in the U.S. Yet an underappreciated driver of the surge has been the rise of the "solopreneur"—or solo founders running businesses without employees. Since the start of 2025, solopreneur applications have risen by 23%, while "high-propensity" applications (businesses likely to hire) are essentially flat.

What's driving entrepreneurs to go solo? Enter generative AI, which has lowered barriers to entry and enabled businesses to innovate, produce and expand without hiring. For investors, this is a direct reflection of the U.S. economy's entrepreneurial DNA and a key reason to keep the U.S. at the center of portfolios. Think more competition, greater innovation and, over time, higher productivity—a potent recipe for corporate earnings and U.S. growth. As AI adoption grows and as the cost of technology declines, we expect new small businesses, the backbone of the U.S. economy, to be among the biggest recipients of productivity gains.

9040481 7/2026

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Portfolio Considerations

The "Era of Transformation" is being driven by innovation, capital investment, infrastructure needs, and evolving themes that extend from short-term resilience and earnings growth to longer-term Rebalancing, Re-globalization, Reconstruction, and Rearmament.

Persistent shortages across AI-related resources, infrastructure, minerals, and defense equipment are expected to support productivity, profit margins, asset-price growth, and attractive potential opportunities across global equity markets, despite periodic "Bullwhip" market volatility.

We remain overweight U.S. and Emerging Market Equities—favoring Industrials, Financials and Consumer Discretionary—while maintaining balanced exposure between Growth and Value, and views higher Fixed Income yields as attractive for income, diversification and risk compensation.

Moderate Growth, Anchored Inflation, Resilient Risk Appetite

Chief Investment Office, *Macro Strategy Team*

Investment Implications

With moderate U.S. growth and inflation underpinnings, we expect investors to continue to favor economically sensitive sectors and AI-investment beneficiaries, assuming stabilization of geopolitical situation.

Incoming data suggest U.S. growth remains moderate and close to potential rather than overheating. Activity is being pulled in both directions: wealth effects, inflation-indexed government transfers, government spending, tax incentives and the AI investment boom continue to support it—while higher oil prices and tariffs, slower wage growth, cautious bank lending, elevated consumer borrowing costs and soft hiring restrain it.

The Federal Reserve's (Fed) Beige Book prepared for the July 28–29 rate-setting meeting, supports this view. Over the mid-May to early July reference period, 11 of 12 Fed districts reported expansion, the broadest improvement since early 2025. Yet, the expansion was characterized as slight to moderate, with moderate price increases, wage growth modest to moderate, and employment rising on balance but showing little to no change in seven of 12 districts. Recent ADP data also show that four-week average employment gains have started to fade through the July 4 week after picking up earlier this year.

With slower and narrower job creation (private-sector employment outside healthcare and education is still lower than two years ago), labor-market slack has grown. The average duration of unemployment has increased, job openings have declined and the pool of people outside the labor force who nevertheless want a job has expanded. The lack of labor-market dynamism—partly due to a widening mismatch between jobs and skills as the economy changes and technology advances—has also restrained wage growth, constraining consumer spending.

Indeed, although June retail sales surprised to the upside, the underlying signal was less upbeat than the headline suggested. According to BofA Global Research, non-store retailers accounted for much of the strength, helped by special promotions that could partly reverse in July. Spending in most other categories remained tepid, with limited evidence of a meaningful net boost from the World Cup. While upward revisions to prior months, especially to food services, lifted expectations for Q2 real consumer spending after a very weak Q1 gain, real gross domestic product (GDP) still tracks around 1.75% to 2% for Q2, according to various estimates, consistent with moderate, non-inflationary growth outside energy-price effects. In fact, renewed fuel-price pressures, alongside fading support from early-year tax refunds, point to persistent growth headwinds in the second half.

Manufacturing tells a similarly mixed story. After two strong monthly gains earlier in the year, output increased modestly in May and contracted in June (Exhibit 1A). The AI investment boom is leaking into large imports of semiconductors and related equipment, limiting its domestic growth and employment impact relative to headline investment outlays. Also, a strong dollar restrains exports. On the other hand, lean inventories across several industries point to a likely restocking cycle in coming quarters. In addition, defense spending and rebounding aerospace production, alongside favorable regional Fed July surveys point to continued manufacturing-sector expansion. This is consistent with further improvement in the Institute for Supply Management manufacturing index—typically a constructive signal for corporate earnings and investor risk appetite.

Against a backdrop of moderate growth, sharply lower June oil prices and fading tariff effects, inflation delivered an encouraging downside surprise for a change. Not only did June headline consumer price index (CPI) inflation decline sharply alongside lower oil prices, but "core" CPI (excluding food and energy) also posted a small but rare monthly decline, nudging the year-over-year (YoY) rate down to 2.6% from 2.8% in May. The improvement was broad based: prices of goods excluding food and energy declined, prices for services excluding energy and rent of shelter declined, and a larger share of CPI components (about a third) declined. With housing still likely to contribute to future disinflation—as new-lease measures remain soft and multifamily supply continues to expand—and little evidence that tariffs or energy prices are feeding a broader wage-price spiral so far, gradual inflation normalization without much Fed tightening is likely, in our view.

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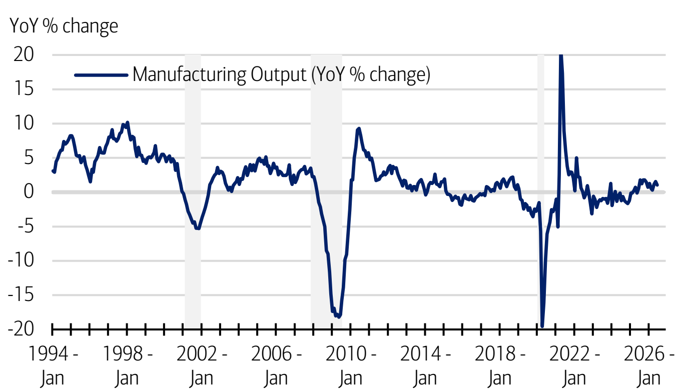
The main risk to the outlook remains energy. Although the global economy has adapted better than expected to Strait of Hormuz disruptions, as discussed in recent reports, renewed and expanded trade barriers raise risks to both growth and inflation. Ukrainian attacks on Russian refining and export infrastructure have further tightened the global refined-products market, with at least 24 of Russia's 34 large refineries reportedly struck by drones and bringing Russian crude processing down to its lowest level in more than two decades. Given its large export footprint, especially for diesel, Russian diesel and jet fuel export restrictions combined with gasoline imports have tightened refined-product markets. India's recent introduction of higher fuel export taxes and China's preference for preserving crude inventories while retaining large underutilized refining capacity reduce the likelihood of near-term supply relief. In fact, the threatened blockade of the Bab-el-Mandeb strait would extend the transit time for roughly three million barrels per day of Saudi oil going to Asia by about a month, with additional logistical complexity tied to Suez Canal tanker capacity constraints also increasing costs and transit time.

According to the EIA, with U.S. refiners running at full capacity, commercial crude inventories remain above pre-2015 levels. However, refiners have prioritized jet fuel and distillate production to meet strong global demand, causing gasoline inventories to fall below their five-year range. Reflecting tight supply, U.S. gasoline and diesel prices have risen to levels consistent with roughly $140 and $170 per barrel crude oil, respectively. Moreover, fuel markets remain vulnerable to potential unexpected refinery maintenance requirements. The Strategic Petroleum Reserve (SPR) has declined to 40-year lows and is approaching operational limits.

Still, because of a big decline in the U.S. economy's energy intensity, diesel and gasoline costs as a share of GDP remain below past oil-shock levels (around 2.2% vs. roughly 4.5% in 1973, for example). Also, the U.S. is now an oil exporter rather than a large oil importer. This suggests that oil prices are not high enough to cause a U.S. or global recession. According to Dallas Fed Research, June 23, 2026, the estimated effect on U.S. GDP growth in 1980 from a similar oil shock as that caused by the Hormuz crisis this year would have had a 20 times larger impact (Exhibit 1B). Global fuel intensity has also declined significantly, but the U.S. resilience is still greater. At current prices, there are still sufficient growth tailwinds to keep the expansion going at a moderate pace. Also positive, tempered growth and still anchored inflation expectations have helped keep the 10-year Treasury yield in its relatively narrow range of the past two years despite spiking oil prices, with markets relatively comfortable with the gradual uptick in yields to date. The bigger risk to asset prices would be a disorderly rise in real yields and bond-market volatility, including if driven by Fed interest rate hikes without stronger growth.

Exhibit 1: Inflation Divergence Likely to Resolve to the Downside.

A) Industrial Production still moderate compared to past economic booms.



B) Tremendously greater resilience to oil shock today compared to the past.

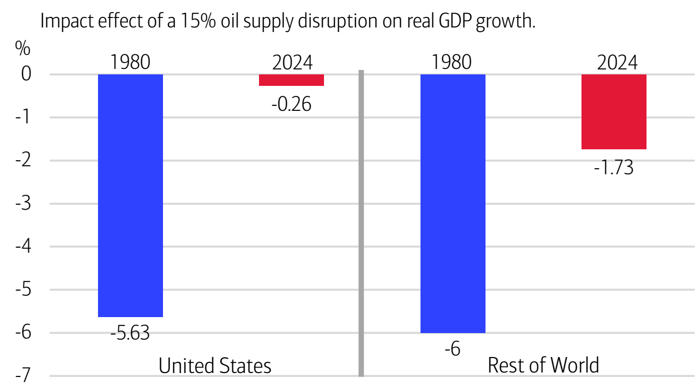


Exhibit 1A) Sources: Federal Reserve Board/Haver Analytics. Data as of July 23, 2026. Exhibit 1B) The oil supply disruption originates in the rest of the world. All values are based on a one-quarter oil supply disruption. The growth rates are annualized percentage point deviations from the pre-shock baseline. Source: Federal Reserve Bank of Dallas. Data as of June 23, 2026.

MARKET VIEW

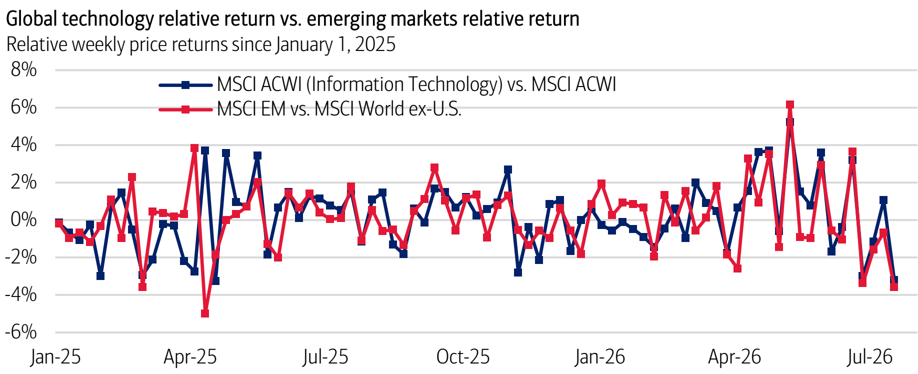
International Equity Markets—Strengths, Weaknesses, Opportunities and Challenges

Ehiwario Efeyini, *Director and Senior Investment Strategist*

The drawdown in the global Technology sector between early-June and mid-July has highlighted a major dividing line across international equity markets. Europe has been the global leader over the period, emerging Asian markets have been by far the weakest, and the U.S. and Japan have fallen in between the two. This has been a mirror image of the full year 2026 so far, in which technology leadership has driven outperformance in emerging markets and seen Europe lag. And it underscores the current importance of the Technology sector to relative international returns, given the wide disparities now present in regional capitalization weightings. Technology exposure (including the internet platforms listed in Communication Services and Consumer Discretionary) now accounts for 50% of the MSCI Emerging Market (EM) Index benchmark (and 60% of emerging Asia), with the semiconductor industry group alone forming 35% of EM Equities (and 42% of emerging Asia).

By contrast, Europe's Technology sector exposure stands at just 10%. Indeed, since the start of 2025, the MSCI EM Index has outpaced the overall developed ex-U.S. benchmark (MSCI World ex-U.S.) in 70% of the weekly periods in which the global Technology sector has risen by more than global Equities (MSCI All-Country World) in aggregate (Exhibit 2).

Exhibit 2: Emerging Markets have Led Global Equities During Recent Periods of Strength in the Technology Sector.



Sources: MSCI; Bloomberg. Data as of July 17, 2026. It is not possible to invest directly in an index. Please refer to index definitions at the end of this report. **Past performance is no guarantee of future results.**

A key question for international markets in the second half of the year will therefore be whether the advance in technology-linked markets can continue, particularly within upstream segments related to AI data center investment. And important to watch here will be the capital spending plans of the cloud hyperscalers, pricing power in critical parts of the supply chain such as memory, foundry and semicap equipment, and, ultimately, user demand for models and developer applications. Wider AI adoption and more application use cases would likely allow market participation to extend further downstream within the sector, including in China, whose capitalization share of the MSCI EM index has halved over the past five years, but at close to 20% remains the third-largest after Taiwan and Korea. And notwithstanding the potential for further bouts of volatility of the type experienced over recent weeks, broader gains for the tech sector should continue to favor EMs and Asia over Europe.

The return of energy supply constraints in the Middle East nonetheless poses a growing risk to both European and Asian markets. Both are heavily reliant on imported oil and gas in their primary energy consumption, with Asia more directly dependent on shipments from the Middle East. And though both markets were able to withstand the disruptions to production, shipping and prices during the first phase of the Iran conflict, the July re-escalation could potentially be more challenging should it persist over the weeks and months ahead.

Investment Implications

We maintain a favorable view on EMs relative to Europe, but continue to weigh the potential impact of changes to the macro environment related to the pivotal themes of technology and energy. We also stay cautious on the UK market, particularly in light of this month's change in central government leadership. And we remain constructive on Japan, despite the market facing similar risks to much of emerging Asia from any further tightening in global energy supply..

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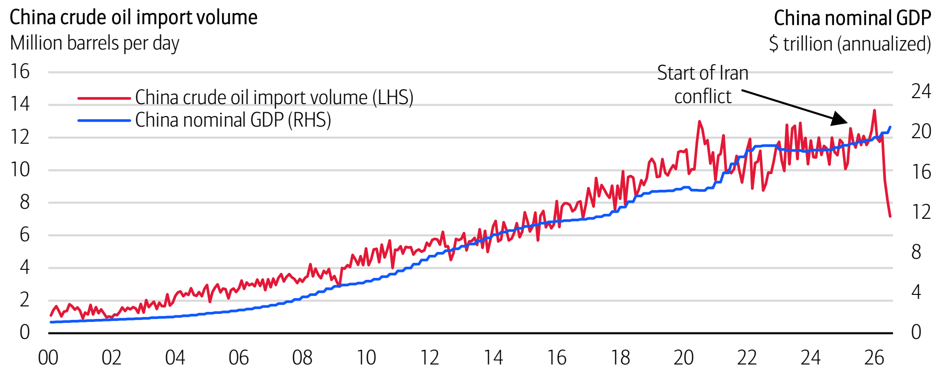
The MSCI Europe and MSCI emerging Asia benchmarks corrected by 10% to 15% in March following the initial outbreak of the conflict but rebounded in Q2 even in the face of higher energy prices as activity in the sector adjusted. Individual countries were able to draw upon their national oil inventories. China in particular (by far the largest global energy importer) reduced its oil imports by around 40%, taking them back to 2016 levels when its economy was roughly half its current size (Exhibit 3). And oil and gas export volumes were redirected to Saudi Arabia's Red Sea coast.

Exhibit 3: China's Oil Import Volumes have Fallen Sharply Since the Start of the Iran Conflict.



Sources: Bloomberg; Chief Investment Office. Data as of June 2026. Import volume converted from tons to barrels at ratio of 7.33:1

But these three sources of relief are unlikely to offer the same cushion for markets in the current phase of the conflict. Global observed oil inventories have now been drawn down by more than 300 million barrels over the period between March and June, according to the International Energy Agency. Depending on its willingness to further deplete its domestic stockpiles, China's oil import demand could begin to increase again from depressed levels. And risks to energy exports through the Red Sea could force a diversion of the estimated 5.4 million barrels per day of oil and 2.9 billion cubic feet per day of liquefied natural gas that were transported through the waterway in Q1 of 2026, according to the U.S. Energy Information Administration. It also remains to be seen how global monetary authorities will react to higher headline inflation driven by the recent energy price surge. Higher interest rates could present an additional hurdle for international equity markets if central banks are forced to tighten policy. We maintain a favorable view on EMs relative to Europe, but continue to weigh the potential impact of changes to the macro environment related to these two pivotal themes of technology and energy.

Our view on the smaller regional developed markets also remains intact and has been reinforced by recent local developments. As in continental Europe, we stay cautious on the U.K. market, particularly in light of this month's change in central government leadership. Even though the ruling party remains in place and its platform is officially unchanged, the new prime minister is expected to pursue a more redistributionist policy agenda and has suggested introducing more flexibility into national budget rules with the potential for future increases in tax rates. The fiscal outlook will therefore be important to watch over the coming months for any potential deterioration in investor perceptions around the local market. And, at the same time, we remain constructive on Japan. Given its dependence on imported oil from the Middle East, the Japan market faces similar risks to much of emerging Asia from any further tightening in global energy supply from the region. And to a lesser extent, it should also remain sensitive to volatility in the Technology sector, given its hardware exposure to industry groups such as semicap equipment and electronic components. We nonetheless still see structural supports from shareholder-friendly deployment of corporate cash for buybacks, payouts and acquisitions, in addition to fiscal expansion coming from the new administration, and both competitive support and a translation boost on overseas profits from yen weakness.

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THOUGHT OF THE WEEK

Behind the Surge in U.S. Business Formation: The "Solopreneur"

Ariana Chiu, *Assistant Vice President and Investment Strategist*

Business formation is at all-time highs in the U.S., with applications over the 12 months through June 2026 running north of 6 million.[1] In other words, entrepreneurial activity is booming in the U.S. But an underappreciated feature of the recent surge in business applications has been the rise of the "solopreneur"—or solo founders who run businesses on their own without employees.

As Exhibit 4A highlights, the increase in business applications since the start of 2025 has been primarily driven by solopreneurs. Whereas their applications have risen by 23% in just the last year and a half, applications among "high-propensity" businesses (i.e., businesses likely to hire workers) are essentially flat over the same period. Translated: Solo founders have fueled most of the recent acceleration in business creation. Data from Stripe, a financial services platform, confirms in Exhibit 4B: The wave of new startups, particularly in Q1 of this year, has largely been the work of solo founders.

What's driving entrepreneurs to go solo? Enter generative artificial intelligence (AI), which has lowered barriers to entry and enabled businesses to innovate, produce, market and expand, all without necessarily hiring additional employees. Indeed, the sectors that have seen the largest growth in business applications such as Information and Professional Services are also the sectors with the highest AI adoption rates of 44% and 38% respectively.[1] All the while, job growth in these sectors has been limited or negative. Employment in the Information sector, for example, is currently below pre-pandemic levels—despite the sector's gross domestic product expanding by over 50% since the start of the decade.

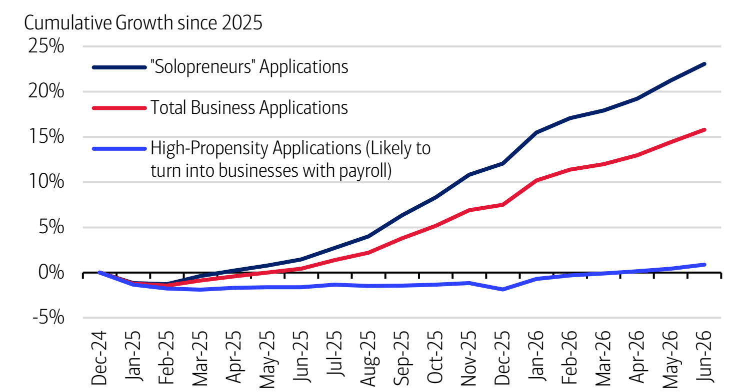
For investors, the rise of the solopreneur and the attendant increase in business formation is a direct reflection of the U.S. economy's entrepreneurial DNA. We believe that's a key reason to maintain the U.S. at the center of portfolios because it means more competition, greater innovation and, over time, higher productivity—all of which are good news for corporate earnings and U.S. growth. Already, AI has helped lift company margins with earnings as a share of GDP at a record 14% as of Q1 2026.[2] As AI adoption grows and as the cost of technology declines, we expect new small businesses, the backbone of the U.S. economy, to be among the biggest recipients of productivity gains.

Investment Implications

Recent trends in business applications reinforce our conviction in America's risk-taking entrepreneurial culture. AI adoption should continue to help profits expand more broadly across sectors. Stay overweight the U.S. in portfolios.

Exhibit 4: The Rise of the Solopreneur.

A) Breaking down higher business applications.



B) Startups go solo.

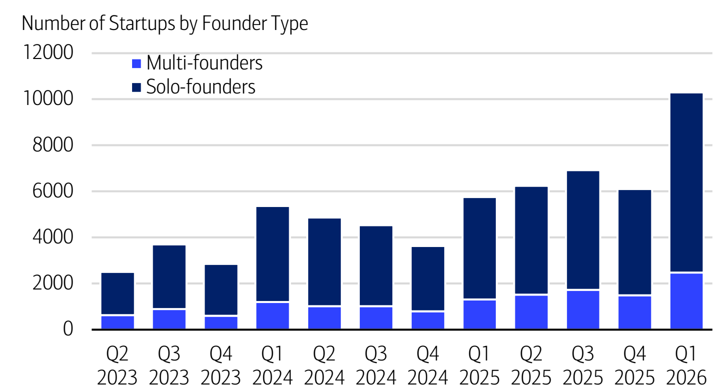


Exhibit 4A) "Solopreneurs" refers to non-high-propensity applications. Source: Census Bureau. Data as of July 9, 2026. Exhibit 4B) Source: Stripe. Data through Q1 2026, as of July 2026.

[1] Census Bureau. Data as of July 2026.

[2] Bureau of Economic Analysis. Data as of July 2026.

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Equities

	Total Return in USD (%)			
Equities	Current	WTD	MTD	YTD
DJIA	51,947.25	-0.4	-0.6	9.0
NASDAQ	24,975.82	-2.1	-4.7	7.8
S&P 500	7,411.98	-0.6	-1.1	9.0
S&P 400 Mid Cap	3,783.86	0.2	-1.7	15.3
Russell 2000	2,930.00	-1.1	-3.1	18.8
MSCI World	4,788.90	-0.4	-0.7	8.9
MSCI EAFE	3,113.50	0.4	-0.1	9.4
MSCI Emerging Markets	1,628.03	0.5	-5.3	17.3

Fixed Income†

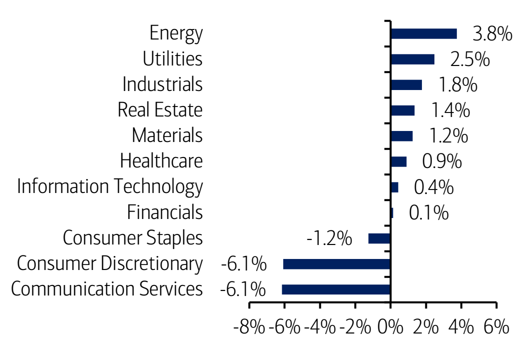
	Total Return in USD (%)			
Fixed Income	Current	WTD	MTD	YTD
Corporate & Government	4.88	-0.73	-1.20	-0.72
Agencies	4.63	-0.39	-0.45	0.16
Municipals	3.94	-1.19	-1.98	0.30
U.S. Investment-Grade Credit	4.97	-0.74	-1.18	-0.57
International	5.47	-0.92	-1.61	-0.77
High Yield	7.46	-0.57	-0.43	1.52
90 Day Yield	3.90	3.79	3.81	3.63
2 Year Yield	4.33	4.18	4.17	3.47
10 Year Yield	4.68	4.55	4.47	4.17
30 Year Yield	5.16	5.07	4.95	4.84

Commodities & Currencies

	Total Return in USD (%)			
Commodities	Current	WTD	MTD	YTD
Bloomberg Commodity	346.90	2.8	9.8	25.6
WTI Crude $/Barrel††	89.31	8.3	28.5	55.5
Gold Spot $/Ounce††	4052.79	0.9	1.1	-6.2

	Total Return in USD (%)			
Currencies	Current	Prior Week End	Prior Month End	2025 Year End
EUR/USD	1.14	1.14	1.14	1.17
USD/JPY	163.83	162.40	162.55	156.71
USD/CNH	6.77	6.78	6.79	6.98

S&P Sector Returns



Sources: Bloomberg, Factset. Total Returns from the period of 07/20/2026 to 07/24/2026. †Bloomberg Barclays Indices. ††Spot price returns. All data as of the 07/24/2026 close. Data would differ if a different time period was displayed. Short-term performance shown to illustrate more recent trend. **Past performance is no guarantee of future results.**

Economic Forecasts (as of 7/24/2026)

Economic Forecasts	Q1 2026A	Q2 2026A	Q3 2026E	Q4 2026E	2026E	2027E
Real global GDP (% y/y annualized)	-	-	-	-	3.2	3.5
Real U.S. GDP (% q/q annualized)	2.1	2.5*	2.5	2.4	2.3	2.2
CPI inflation (% y/y)	2.7	3.8	3.4	3.1	3.3	2.1
Core CPI inflation (% y/y)	2.5	2.7	2.4	2.5	2.5	2.5
Unemployment rate (%)	4.3	4.3	4.3	4.2	4.3	4.2
Fed funds rate, end period (%)	3.63	3.63	3.88	4.38	4.38	4.38

The forecasts in the table above are the base line view from BofA Global Research. The Global Wealth & Investment Management (GWIM) Investment Strategy Committee (ISC) may make adjustments to this view over the course of the year and can express upside/downside to these forecasts. Historical data is sourced from Bloomberg, FactSet, and Haver Analytics. **There can be no assurance that the forecasts will be achieved. Economic or financial forecasts are inherently limited and should not be relied on as indicators of future investment performance.**
A = Actual. E/* = Estimate. Data as of July 24, 2026.
Sources: BofA Global Research; GWIM ISC as of July 24, 2026.

Asset Class Weightings (as of 7/7/2026)

Asset Class	Underweight		CIO View Neutral	Overweight	
Global Equities				●	
U.S. Large-cap Growth				●	
U.S. Large-cap Value				●	
U.S. Small-cap Growth				●	
U.S. Small-cap Value				●	
International Developed		●			
Emerging Markets				●	
Global Fixed Income		●			
U.S. Governments		●			
U.S. Mortgages		●			
U.S. Corporates		●			
International Fixed Income		●			
High Yield		●			
U.S. Investment-grade Tax Exempt		●			
U.S. High Yield Tax Exempt		●			
Alternative Investments*					
Hedge Strategies			●		
Private Equity			●		
Private Credit			●		
Real Assets			●		
Cash					

CIO Equity Sector Views

Sector	Underweight		CIO View Neutral	Overweight	
Industrials				●	
Consumer Discretionary				●	
Financials				●	
Information Technology			●		
Energy			●		
Materials			●		
Utilities			●		
Healthcare			●		
Communication Services		●			
Real Estate		●			
Consumer Staples		●			

* Many products that pursue Alternative Investment strategies, specifically Private Equity and Hedge Funds, are available only to qualified investors. CIO asset class views are relative to the CIO Strategic Asset Allocation (SAA) of a multi-asset portfolio. Source: Chief Investment Office as of July 7, 2026. All sector and asset allocation recommendations must be considered in the context of an individual investor's goals, time horizon, liquidity needs and risk tolerance. Not all recommendations will be in the best interest of all investors.

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Index Definitions

Securities indexes assume reinvestment of all distributions and interest payments. Indexes are unmanaged and do not take into account fees or expenses. It is not possible to invest directly in an index. Indexes are all based in U.S. dollars.

S&P 500 Index is a stock market index tracking the stock performance of 500 leading companies listed on stock exchanges in the United States.

MSCI All-Country World Index is a premier benchmark representing global equity performance, covering large and mid-cap stocks across 23 developed and 24 emerging markets.

Institute for Supply Management Manufacturing Index is a composite measure equally weighing new orders, production, employment, supplier deliveries, and inventories.

MSCI Emerging Market Index is a stock market index designed to measure the equity market performance of developing economies globally.

MSCI World ex US Index captures large and mid cap representation across 22 of 23 Developed Markets (DM) countries--excluding the United States.

MSCI Europe Index captures large and mid cap representation across Developed Markets (DM) countries in Europe.

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